



Atlassian: Customer Agreement -
10/01/2026

TERM
SCOUT[®]
Certified Contract Report



CONTRACT POSITION	CONTRACT TYPE	LAST UPDATED	CONTRACT CATEGORY
VENDOR FORM	IT	August 27, 2026	Project Management Software

Top 4%

Ranking

The vendor's agreements were benchmarked against thousands of vendor forms and are in the top 4% for customer favorability.

0

Deal Breakers

80% customer favorability, based on 750 plus contract signals powered by Certify.

80%

Customer Favorability

Indicates balanced, low-risk terms favorable to the customer.



Top 4% IT contract. No structural blockers. Procurement-ready.

Report Highlights

A concise snapshot of key risks, their impact, and priority concerns.

RATING

Customer
Favorable



BENCHMARK

Top 4%



DEAL BREAKERS

0



CLARITY

HIGH



CONTRACT TYPE

IT



TOPIC REVIEWED

6



Topic Analysis

Each topic's favorability at a glance, broken down by subgroup and label.

TOPIC	RATING
Liability and Risk Allocation	100% Customer Favorable
SUMMARY	
Liability cap	• Atlassian's liability is capped at 12 months' fees • A secondary cap on Atlassian's liability covers certain types of data related claims • Customer's liability is capped at 12 months' fees • There is no secondary liability cap on Customer's liability
Exceptions to the liability cap	• Claims related to violations of obligations relating to confidential information are excluded from the cap on Atlassian's liability • Indemnification obligations relating to IP infringement are excluded from the cap on Atlassian's liability • Claims related to payment obligations by Customer are excluded from the cap on Customer's liability • Claims related to violations of obligations relating to confidential information are excluded from the cap on Customer's liability • Claims related to Customer's use of the service, violations of an acceptable use policy or other restrictions or responsibilities are excluded from the cap on Customer's liability
Excluded damages	• One or more forms of indirect damages are excluded from Atlassian's liability • One or more forms of indirect damages are excluded from Customer's liability
Exceptions to excluded damages	• The damages excluded from Atlassian's liability do not include claims related to violations of obligations relating to confidential information • The damages excluded from Atlassian's liability do not include indemnification obligations relating to IP infringement • The damages excluded from Customer's liability do not include claims related to violations of obligations relating to confidential information • The damages excluded from Customer's liability do not include claims related to Customer's use of the service, violations of an acceptable use policy or other restrictions or responsibilities
Timing of claims	• There are no limits on when claims must be brought by Customer • There are no limits on when claims must be brought by Atlassian
Claims	• Atlassian indemnifies Customer for claims based on third-party IP infringement • Customer does not indemnify Atlassian for any claims

TOPIC	RATING
Scope of obligations	• Atlassian's IP indemnification covers all types of IP • Atlassian's indemnification obligations are the exclusive remedy for indemnified claims • Atlassian's indemnification includes the obligation to provide a defense • Atlassian's indemnification includes the obligation to hold harmless
Limitations, conditions, or exclusions	• Obligations include conditions regarding Customer's cooperation or Atlassian's control of the defense • Obligations include conditions regarding Customer's use of the services in breach of the contract • Atlassian's IP indemnity does not cover claims resulting from modifications, combinations, or use of an outdated version of the service • Atlassian's indemnity obligations include conditions regarding settlements • There are time constraints on when Customer must notify Atlassian of an indemnifiable claim
WARRANTIES OFFERED	
SLAs	• Atlassian offers an SLA regarding uptime • The specified remedy for Atlassian's violation of the uptime SLAs is credit or refunds • The specified remedy for Atlassian's violation of an uptime SLA is the exclusive remedy • Atlassian offers some other form of SLA • There is no specified remedy for Atlassian's violation of the other form of SLA
Other warranties	• Atlassian provides warranties regarding defects, performance, and/or features
Implied warranties	• Atlassian disclaims some or all implied warranties
INSURANCE	
Insurance requirements	• Atlassian is not required to carry any form of insurance

90% Customer Favorable

Data & Privacy



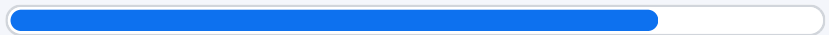
SUMMARY

Vendor's confidential information	• Customer must provide some protection of Atlassian's confidential information
Customer's confidential information	• Atlassian must provide some protection of Customer's confidential information • Atlassian explicitly commits not to disclose Customer's confidential information, except as necessary to provide the services • Atlassian explicitly commits not to use Customer's confidential information, except as necessary to provide the services

TOPIC	RATING
Mutuality	• All commitments concerning confidential information are mutual
Residuals clause	• There is no residuals clause
DATA RIGHTS	
Data provided by Customer	• Atlassian does not claim ownership of any data provided by Customer • Atlassian receives rights to use data provided by Customer for its internal business purposes • Atlassian receives rights to use data provided by Customer to comply with applicable law • Atlassian receives rights to use data provided by Customer to the extent it is anonymized • Atlassian receives rights to use data provided by Customer for marketing purposes • Atlassian receives some other usage rights which TermScout was unable to classify - see citation
DATA SECURITY	
Subprocessor obligations	• The contract lists or references a list of some subprocessors • Atlassian is required to ensure that subprocessors are bound by data or privacy requirements similar to those in this contract
Security commitments	• Atlassian makes contractually binding data security commitments
Third party audits, standards, or certifications	• Atlassian commits to comply with at least one third-party data security audit, standard, or certification • Atlassian commits to Soc 2 audits • Atlassian commits to ISO 27001 standards and/or certification • Atlassian commits to complying with one or more NIST frameworks • Atlassian commits to Data Privacy Framework (DPF) standards and/or certification • There are qualifications and/or limitations to Atlassian's commitments to comply with third-party data security audits, standards, or certifications
Data breach notification policy	• Atlassian commits to notifying Customer of a security breach impacting Customer's data
WARRANTIES OFFERED	
Compliance with documentation/specifications	• Atlassian warrants that the services will comply with certain documentation and/or specifications, but the warranty has some conditions or qualifications
Other warranties	• Atlassian provides warranties regarding data or data security • Atlassian provides warranties regarding malware, malicious code, spyware, viruses, or similar

Commercial & Payment Terms**60% Balanced Favoring Customer****PAYMENT TERMS**

Late payment penalties	• There are no penalties for late payments
Payments due	• Customer's payment terms are either less than 30 days or not specified in the Agreement
Vendor's expenses	• Atlassian does not reserve the right to bill Customer for any expenses incurred by Atlassian

Term, Termination, & Control**80% Customer Favorable****SUMMARY**

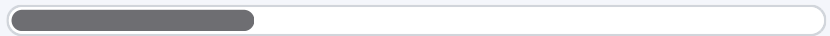
Customer's termination rights	• Customer has certain rights to terminate for cause • Customer has certain rights to terminate for convenience
Refunds	• Customer's termination rights include the right to a refund
Auto-renewal	• The contract has auto-renew language, but Customer may opt out • The contract has auto-renewal language and Customer may opt out by giving less than or equal to 45 days' notice
Vendor's termination and suspension rights	• Atlassian does not receive the right to terminate the contract for convenience • Customer has between 11 and 30 days to cure a breach before Atlassian can terminate for cause • Atlassian may suspend Customer's access to the service for material breach of the contract • Atlassian may suspend Customer's access to the service for payment-related issues • Atlassian may suspend Customer's access to the service for violation of Atlassian's policies and/or guidelines • Atlassian may suspend Customer's access in order to prevent material harm • Atlassian may suspend Customer's access in the event of IP infringement • Atlassian may suspend Customer's access to the service for reasons TermScout was unable to classify - see citation

TOPIC

RATING

IP & Ownership

70% Vendor Favorable



CUSTOMER'S IP

Licenses to Customer IP

- Atlassian receives a right to Customer's suggestions and/or feedback
- Atlassian receives the right to use Customer's name and/or marks publicly

Publicity rights

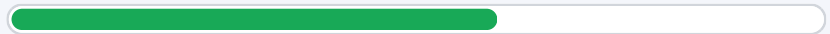
- Atlassian's use of Customer's name and/or marks is not subject to Customer's guidelines

Assignment of Customer IP or work product

- Customer does not assign any work product or other IP to Atlassian

Restrictions & Controls

60% Balanced Favoring Customer



SUMMARY

Non-compete

- There are no restrictions on Customer's ability to compete as long as Customer doesn't violate the agreement or use the services to compete

Non-solicit

- There are no restrictions on Customer's right to solicit

Exclusivity

- There are no restrictions on Customer's ability to procure similar products or services from other vendors

Vendor's assignment rights

- Atlassian is allowed to assign in the event of a merger or acquisition
- Atlassian is allowed to assign in the event of a corporate reorganization
- There are no consent requirements restricting Atlassian's ability to assign the contract
- There are no notice requirements restricting Atlassian's ability to assign the contract
- There are no restrictions or conditions on Atlassian's right to assign to a competitor of Customer

TOPIC	RATING
Customer's assignment rights	• Customer is allowed to assign in the event of a merger or acquisition • Customer is allowed to assign in the event of a corporate reorganization • There are consent requirements restricting Customer's ability to assign the contract • Consent requirements do not apply in the event of a merger or acquisition • Consent requirements do not apply in the event of a corporate reorganization • There are notice requirements restricting Customer's ability to assign the contract • Notice requirements apply to Customer's assignment rights in the event of a merger or acquisition • Notice requirements apply to Customer's assignment rights in the event of a corporate reorganization • There are no restrictions or conditions on Customer's right to assign to a competitor of Atlassian

Why This Matters?

See value, risks, and position at a glance for better decisions.

01. Use Product/ Services Sooner

A certified contract gives buyers an immediate signal that the agreement has already been independently reviewed against objective standards, so they do not need to start from a blank slate. Procurement and legal can focus on any truly exceptional issues instead of re-litigating the whole paper, helping the vendor get to usage faster.

02. Fewer Redlines

When a contract is benchmarked and certified as Balanced or Customer Favorable, buyers know the core terms are already aligned with market norms and fairness criteria. That reduces the instinct to redline broadly, because the agreement has already cleared a credibility threshold before negotiation begins.

03. Faster Approvals

Certification gives internal stakeholders a common, data-backed basis for approval, which lowers the time spent debating whether the contract is acceptable. In practice, that lets procurement, legal, and finance move from review mode to decision mode much faster.

04. Increased Buyer Trust

A certified contract signals transparency: the vendor is willing to have its terms independently assessed and publicly displayed as fair, balanced, and market-aligned. That kind of external proof reduces suspicion about hidden risk and makes buyers more comfortable moving forward.

05. Shorter Deal Cycles

Because certification removes uncertainty early, buyers can spend less time negotiating standard terms and more time deciding whether the product is the right fit — cutting negotiation friction and accelerating time to signature.

Why you can Trust this?

Built on verified data and transparent methods for reliable, unbiased insights.

01. Data Extraction

Scans and converts legal text into structured data.

02. Objective Scoring

Clauses benchmarked against market data.

03. Deal Breakers

Risks and non-negotiables flagged early.

04. Benchmarking

Compares your contract to market standards.

05. Certification

Contract validated after meeting risk and score thresholds.

Certified Contract Reports, Explained

Verified contract reviews are reviews of contracts that have been carefully checked by contract experts. This review is designed to help users understand the rights and obligations associated with the IT for Vendor. We looked at the issues found in 'Term Sheets' and did not look for any other issues.

For more information on TermScout's contract review process, visit our [Methodology](#) page.

1. Qualification for TermScout Certification

In order to qualify for Certification, a contract must meet the following criteria:

- Achieve a TermScout rating of Balanced or Customer Favorable, and
- Be free of all designated Deal Breaker clauses.

The difference between certified Balanced and certified Customer Favorable is the TermScout favorability rating achieved by the contract. Each of these criteria is more fully described below.

2. Balanced or Better Rating

A contract is balanced when it allocates risks between the parties in a roughly equal manner, as determined by TermScout's two-step, data-driven analysis. First, we use our proprietary AI to abstract over 750 defined data points from each contract we analyze. Then, we use an algorithm to objectively score that data.

This enables us to objectively rate contracts at both the agreement level and by key topic area (e.g., limitations of liability, indemnification, warranties, etc.) and show you which contracts are vendor favorable, which are customer favorable, and which are balanced.

3. No deal breakers

Not all risks are created equal. Even if a contract shifts only a single risk to the buyer, the contract still may not merit certification if that risk is material enough. Examples of these types of Deal Breakers include exclusivity, complete disclaimers of liability, etc. Accordingly, TermScout will not certify a contract if it contains any of the following Deal Breaker clauses, identified by reference to market data and input from prominent buy-side and sell-side legal experts from TermScout's Innovation Advisory Council:

4. Vendor disclaims all liability

This makes it nearly impossible for a customer to recover from a vendor, no matter what goes wrong - even if the vendor violates other provisions of the contract.

5. Restrictions on Customer's right to compete

Signing non-competes means contractually promising not to engage in a certain line of business. This is something most businesses want to avoid where possible.

6. There is no one or more restrictions on Customer's right to solicit

Agreeing not to solicit a vendor's employees, customers, or vendors sounds reasonable, but it places challenging burdens on the customer to ensure they comply.

7. Restrictions on Customer's ability to produce similar products or services

Agreeing not to procure similar services from other companies can severely hinder a company's ability to do business.

8. Vendor receives broad usage rights in data provided by customers

Privacy laws require companies to follow strict rules with respect to how they handle certain types of data. This clause presents major risks to a company's ability to comply with such laws.

9. Customer assigns some work product or other IP to vendor

It's extremely rare for a customer to need to assign IP rights to an IT vendor. Doing so can materially jeopardize a company's rights in its own IP.

10. Vendor is not obligated to protect Customer's confidential information

Since most IT services today are delivered "as a service", customers often upload wide varieties of information onto vendors' servers. Confidentiality commitments are expected by most customers.

11. How to Use this Report

The goal of TermScout's reports is to provide users with the data necessary to make an informed decision about whether they can accept the terms. The data provided in TermScout's reports includes:

- **Term Sheet:** A full report of the key rights and obligations contained in the agreement.
- **Overall Ratings:** TermScout's overall impression of the favorability of the contract vis a vis the parties. These ratings are algorithmic approximations of favorability that are based on market data and the subjective views of contract experts with experience in the specific type of contract.
- **Rare Clause Radar:** TermScout identifies and surfaces a list of the most rare and material clauses that favor your counterparty.
- **Playbooks:** Playbooks are a way of programming into TermScout's software a specific set of acceptance criteria for a contract type. All accounts have access to sample Playbooks for select templates, and Pro accounts have the ability to build custom Playbooks.
- **Comparable Contracts:** We'll show a list of contracts sorted by favorability ratings and allow for the comparison of similar contracts based on position, industry, and contract type.
- **Market Data:** Any right or obligation in a contract can be compared to market data for similar contract types, including data from TermScout's Contract Market Database of thousands of public contracts and anonymized and aggregated data from hundreds of negotiated contracts.

Certified Contract Reports contain only a subset of the above data. To access all of the data available, create a free account and search for the desired contract in Triage.

Please note that this report focuses on the identification of terms from the contract documents listed under 'Scope of Review' and compares them against a defined set of criteria. Certain services may be subject to additional terms not available to TermScout, such as purchase orders and other deal-specific documents. You should always review the terms associated with the specific service you are using.

12. Assumptions

TermScout prepared this report with an average use-case customer in mind and operated under the assumptions listed below (the "Key Assumptions"). To the extent that provisions in a contract vary based on specific circumstances that differ from the Key Assumptions, TermScout ignores those variations.

Key Assumptions

1. Customer is an average "end user" of the service (i.e. not a partner, distributor, or developer).
2. Customer is not a government entity.
3. Customer is a US-based company and is using the service in the US.
4. Customer is a paying user (i.e. not a user of free services).
5. Customer is not using beta services.
6. Unless otherwise noted, service-specific terms that may override or supersede the terms of the Agreement are not reviewed by TermScout.

13. Definitions

We reviewed the IT for Vendor. References to "Customer" and "Vendor" mirror the parties identified in the Agreement.

14. Scope of Review

References herein to the "Agreement" are to the documents reviewed as part of this analysis. TermScout did not review any documents other than those listed under 'Scope of Review'. If other documents form part of this Agreement, the answers provided by TermScout may be incomplete or incorrect.

15. Notes to Customer

No additional notes to customer for this report.

[View a full breakdown of our contract certification deal breakers.](#)

Schedule Your Demo

Ready to see how your contract stacks up against the competition?

Contact Us